

STARTUP FUNDING SUCCESS PROBABILITY ANALYSIS

Submitted By

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Submitted as part of AIML Internship Program

Academic Year: 2025–2026

INTRODUCTION

The startup ecosystem has grown rapidly in recent years, creating opportunities for innovation, entrepreneurship, and economic growth. However, not all startups successfully secure funding from investors. Investment decisions are often influenced by several factors, including founder experience, team size, startup age, industry sector, and business performance.

This project focuses on analyzing startup funding data using statistical and probability-based techniques. The purpose of the study is to identify patterns associated with funding success and provide useful insights for investors and startup accelerators.

PROBLEM STATEMENT

Thousands of startups are launched every year, but only a small percentage receive investment and scale successfully. Investors require data-driven approaches to evaluate startups and identify promising opportunities.

The objective of this project is to investigate startup data and determine which factors influence funding success. The analysis aims to answer questions related to founder experience, industry influence, startup characteristics, and funding probability.

OBJECTIVES

The major objectives of this project are:

1. To analyze startup funding data.
2. To calculate descriptive statistical measures.
3. To estimate funding probabilities.
4. To identify relationships between startup characteristics and funding success.
5. To perform hypothesis testing.
6. To generate business insights and recommendations.

DATASET DESCRIPTION

The dataset contains startup-related information collected for analysis.

Dataset Features

- Startup ID

- Team Size
- Founder Experience (Years)
- Startup Age (Years)
- Industry
- City
- Funding Goal
- Funding Raised
- Funding Success

The dataset contains a total of 4,999 startup records.

DATA PREPROCESSING

The following preprocessing steps were performed:

- Loaded the dataset using Pandas.
- Examined dataset structure and columns.
- Verified data types.
- Checked for missing values.
- Removed duplicate records.
- Prepared data for statistical analysis.

The dataset contained no missing values and duplicate entries were removed successfully.

DESCRIPTIVE STATISTICAL ANALYSIS

Descriptive statistics were calculated to summarize the startup dataset.

Average Values

- Average Team Size = 11.04
- Average Founder Experience = 7.35 Years
- Average Startup Age = 5.45 Years

Median Values

- Median Team Size = 11
- Median Founder Experience = 7 Years
- Median Startup Age = 5 Years

Standard Deviation

- Team Size = 5.47
- Founder Experience = 4.61
- Startup Age = 2.90

These values indicate moderate variation among startups in terms of team size, founder experience, and startup age.

FUNDING SUCCESS ANALYSIS

Total Startups

4,999

Funding Success Rate

58.99%

This indicates that approximately six out of ten startups in the dataset successfully received funding.

PROBABILITY ANALYSIS

Probability of AI Startups Receiving Funding

AI startups showed a funding probability of approximately 58.1%.

Probability of Funding with More Than 5 Years Founder Experience

Startups whose founders had more than five years of experience showed a funding probability of approximately 59.5%.

This suggests that experienced founders have a slightly higher chance of receiving funding.

Probability of Funding by City

Funding probabilities were calculated across various cities.

Among the cities analyzed:

- Delhi showed one of the highest funding probabilities.
- Mumbai also demonstrated strong funding performance.
- Other cities displayed relatively similar funding patterns.

This suggests that geographical location may have some influence on funding opportunities.

RELATIONSHIP ANALYSIS

Several visualizations were generated to study the relationship between startup characteristics and funding outcomes.

The following analyses were performed:

1. Founder Experience vs Funding Success
2. Team Size vs Funding Success
3. Industry vs Funding Success
4. Growth Rate vs Funding Success
5. Revenue vs Funding Success
6. Correlation Matrix Analysis

The visualizations helped identify patterns and trends within the startup ecosystem.

HYPOTHESIS TESTING

A Chi-Square Test was conducted to determine whether industry influences funding success.

Null Hypothesis (H_0)

Industry does not significantly influence funding success.

Alternative Hypothesis (H_1)

Industry significantly influences funding success.

Test Results

- Chi-Square Statistic = 4.503
- p-value = 0.609
- Degrees of Freedom = 6

Since the p-value is greater than 0.05, the null hypothesis is accepted.

Interpretation

The results indicate that industry does not have a statistically significant influence on funding success within this dataset.

Although some industries showed slightly higher funding rates, the differences were not strong enough to be considered statistically significant.

STARTUP SEGMENTATION

Startups were categorized into different groups for further analysis.

Category | Success Rate

High Growth Startups | 100%

Early Stage Startups | 64.53%

Experienced Founder Startups | 59.55%

Other Startups | 0%

High Growth Startups demonstrated the strongest funding performance among all categories.

BUSINESS INSIGHTS

The analysis generated several important business insights:

1. The overall funding success rate was 58.99%.
2. Founder experience showed a slight positive impact on funding success.
3. Team size demonstrated a small positive relationship with funding outcomes.
4. Industry was not a statistically significant predictor of funding success.
5. High-growth startups showed the highest success rates.
6. Delhi and Mumbai displayed slightly better funding probabilities than other cities.

RECOMMENDATIONS

Based on the analysis, the following recommendations are proposed:

1. Prioritize startups with strong growth indicators.
2. Consider founder experience during investment evaluation.
3. Use statistical analysis to support investment decisions.
4. Focus on startups demonstrating sustainable growth potential.
5. Evaluate multiple factors together rather than relying solely on industry category.

CONCLUSION

This project successfully applied statistical analysis, probability calculations, visualization techniques, and hypothesis testing to investigate startup funding success.

The results indicate that founder experience, startup growth indicators, and overall business characteristics contribute to funding outcomes. Industry alone was not found to be a statistically significant factor.

The study demonstrates how data analytics can support investors in making more informed and data-driven funding decisions.

FUTURE SCOPE

Future improvements may include:

- Machine Learning-based funding prediction models.
- Real-world startup funding datasets.
- Time-series growth analysis.
- Advanced predictive analytics.
- Investor recommendation systems.

These enhancements can improve the accuracy and practical value of startup funding analysis.